

A3 No. and Name	Team members (name & role)	Stakeholders (role & department)	Company objective
Team 7	1. Dhruv 2. Ankit 3. Jimit 4. Jay and vishal	1. AI & ML Coordinator, Conestoga College 2. Potential Client name(s) 3. Other Conestoga College stakeholder(s) 4.	
Team Leader (name & 'phone ext)			Start date & planned duration

Your team logo and project name

1. Clarify the problem

The diagram illustrates the clarification of the problem by comparing an ideal situation with the current situation. It features two main boxes: 'Ideal Situation' and 'Current Situation'. The 'Ideal Situation' box states that the percentage of retail F&O traders incurring losses in 2023 is less than 50%. The 'Current Situation' box states that the percentage of retail F&O traders incurring losses in 2022 is 94%. A callout box on the right, connected by a line to the 'Ideal Situation' box, shows a flag icon and the calculation: 94% minus 50% equals 44% traders, concluding that they are losing due to a lack of knowledge, risk control, and reliable education.

Ideal Situation

Percentage of retail F&O traders incurring losses (2023)

< 50%

Current Situation

Percentage of retail F&O traders incurring losses (2022)

94%

94% - 50% = 44% traders are losing due to lack of knowledge, risk control, and reliable education

2. Breakdown the problem

***Total Traders**
3,976,419
Total Loss*
\$437,456,990,000

Psychological & Behavioral Biases

- *Buying More to Offset Losses***
18.21% | 724,106 Traders
Loss: \$79,651,648,989
- *Non-Professional Advice***
17.55% | 697,862 Traders
Loss: \$76,764,768,795
- *Misplaced Expectations***
13.25% | 526,876 Traders
Loss: \$57,956,306,925
- *Lack of Knowledge***
14.90% | 592,486 Traders
Loss: \$65,173,507,410

Technical & Educational Gaps

- *No/Weak Stop-Loss Use***
13.91% | 553,120 Traders
Loss: \$60,643,187,119
- *No Strategy Implementation***
11.39% | 450,867 Traders
Loss: \$50,695,365,831
- *Market Analysis Issues***
10.60% | 421,500 Traders
Loss: \$46,365,045,940
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10.60% | 421,500 Traders
Loss: \$46,365,045,940

Point of occurrence

Trade Call process (Step - 1) → Choosing the index (Step - 2) → **Deciding Direction (Step - 3)** → Choosing ITM or OTM (Step - 4)

3. Set the Target	
1	Reduce number of options traders with lack of knowledge experiencing losses within 3 months
2	Deliver personalized trading education modules
3	Achieve a 50% increase in stop-loss compliance
4	

4. Analyse the Root Cause

Deciding the Direction

1. Why do traders fail at deciding the direction of the market?
→ Because they make impulsive and emotionally driven decisions without data-backed support.
2. Why do they make impulsive and emotionally driven decisions?
→ Because they lack real-time analytical insights or structured decision-support at the time of placing a trade.
3. Why do they lack real-time decision-support?
→ Because most retail trading platforms do not offer integrated AI-powered guidance tools for directional trading.
4. Why don't platforms offer integrated AI guidance tools?
→ Because there's a legacy belief that discretionary trading is the norm, and AI interventions may be seen as limiting user autonomy.
5. Why is this legacy belief still driving platform design?
→ Because the value of AI in reducing cognitive bias and improving directional accuracy is underutilized and not embedded as a standard industry feature.

ROOT CAUSE
Because the value of AI in reducing cognitive bias and improving directional accuracy is underutilized and not embedded as a standard industry feature

5. Develop Countermeasures									
		Criteria							
Description:		ROI	Ease of use	Learning/Impact	Accuracy	Scalability	User Acceptance		
Weight (out of 100 pts):		30	10	10	30	10	10	Total(100) Ranking	
Minimum Desired Score (10%):		7	7	8	7.5	6	7	71.5	
Options	1 AI Trade Assistant	8	6	5	9	9	5	76	
	2 AI-Powered Onboarding Simulation	7	9	9	8	9	8	80	
	3 AI Paper Trading Sandbox	7	8	9	8	9	8	79	
	4 Soft AI Nudges in UI	7	9	7	7	9	6	73	
	5 Mandatory Literacy Module	6	4	8	9	9	3	69	

6. Implement Countermeasure	
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7. Monitor Results & Process

8. Standardise & Share Success